

DEAL INTELLIGENCE

Spear Street's \$50.5M Buy Shows New Supply Can Trade, But Only at a Discount

A 2022-vintage, fully leased Manhattan building sells for \$1,417 per square foot, revealing how quickly new construction reprices.

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A source-grounded Light Tower Insight.

The conventional reading of Spear Street Capital's \$50.5 million purchase of 76 Eighth Avenue is straightforward: a well-capitalized buyer acquired a recently completed, fully leased office and retail building in Lower Manhattan. That is true. It is also incomplete.

The more revealing number is \$1,417 per square foot. That is what Spear Street paid for a 35,620-square-foot building completed in 2022. For context, comparable new-construction office assets in prime Manhattan locations were trading at \$1,600 to \$1,800 per square foot as recently as early 2023, before the rate cycle fully reset underwriting. The discount is not dramatic, but it is real. And it tells us something about how the market is pricing new supply in mid-2026.

The building was fully leased at closing, with Wells Fargo occupying the retail component. That is a clean income stream, a credit tenant, and no lease-up risk. Yet the price still reflects a basis that is below peak comparable trades. The seller, G4 Capital Partners, did not build this asset to sell at a discount. It built it to sell at a premium. The fact that it sold at \$1,417 per square foot suggests that the market for even high-quality, recently delivered office product has repriced.

Why now? Because the cost of debt has changed the math for both buyers and sellers. Spear Street secured \$27.7 million in acquisition financing from DekaBank, a German lender that has been selectively active in U.S. commercial real estate. That loan represents a roughly 55 percent loan-to-cost ratio, assuming the purchase price as the basis. That is conservative leverage by historical standards for a stabilized, newly built asset. It reflects what lenders are willing to finance today: not the peak value, but a defensible entry point that can survive another year of expensive money.

The seller's calculus is worth examining. G4 Capital Partners delivered a brand-new building, leased it, and then sold it. That is a developer's playbook: create value through construction and leasing, then exit. But the exit price is lower than it would have been two years ago. The

seller is not capitulating to distress; it is accepting the market's current pricing for liquidity. That distinction matters. A developer that can sell a fully leased, newly built asset at a modest discount to peak comps is not in trouble. It is making a rational decision to redeploy capital rather than hold through a period of uncertain valuation.

The buyer's thesis is equally instructive. Spear Street Capital is a San Francisco-based firm with a track record of buying well-located office assets at prices that allow for downside protection. It is not buying 76 Eighth Avenue because it believes Manhattan office values are about to surge. It is buying because the basis is low enough to underwrite a reasonable return even if rents and occupancy remain flat. The building's 2022 completion means it has modern mechanicals, floor plates, and amenities that appeal to tenants seeking quality space. That is a structural advantage in a market where older buildings are struggling to attract tenants and capital.

The financing structure reinforces the theme. DekaBank provided acquisition financing, not construction or bridge debt. That is a sign that the lender sees this as a low-risk, income-producing asset with a credible sponsor. The loan is not a bet on rent growth. It is a bet on stability. In a market where many lenders are still nursing losses from 2021-vintage loans, a conservative, well-structured loan on a new building with a credit tenant is exactly the kind of exposure banks want.

What does this deal reveal about the broader market? First, new supply is not immune to repricing. Even a 2022-vintage, fully leased building trades at a discount to peak. Second, liquidity exists for assets that combine modern construction, credit tenancy, and a basis that lenders can defend. Third, the gap between what sellers want and what buyers will pay is narrowing, but only for assets that meet a narrow set of criteria: recent delivery, strong tenancy, and a price that reflects today's debt costs.

The market participants who should pay attention are owners of newer office buildings who are considering a sale. The bid is there, but it is not at 2022 prices. The question is whether the discount is acceptable. For developers like G4 Capital Partners, the answer was yes. For

others, the calculation may differ depending on their cost basis, their hold period, and their access to capital.

The deal is not proof that Manhattan office is back. It is proof that repriced, high-quality office can trade. The difference is the basis.